

The world in brief

Catch up quickly on the global stories that matter



Photograph: Getty Images

Tulsi Gabbard resigned as America's director of national intelligence, citing her husband's diagnosis with a rare form of cancer. An anti-interventionist, **Ms Gabbard** has made few public comments on the Iran war. Her statements on Iran's nuclear enrichment programme have diverged from Donald Trump's; in March she assessed that it had not been rebuilt. Her resignation comes as the Trump administration considers renewing strikes against Iran.

A spokesman for **Iran's** foreign ministry said "deep and extensive" differences remained with **America** and that any **deal** over the country's highly enriched uranium "will not reach a conclusion". Pakistani mediators arrived in Tehran on Friday for negotiations. Earlier Marco Rubio, America's secretary of state, told **NATO** allies of Mr Trump's "disappointment" at their response to his campaign in the Middle East.

A federal judge dismissed the Trump administration's criminal case against **Kilmar Abrego Garcia**, an undocumented immigrant who was **mistakenly deported** to El Salvador last year. He was brought back to America in June and charged with people smuggling. The

judge said the prosecution amounted to a “vindictive” response to a ruling that Mr Garcia’s removal had been illegal.

The **Dow Jones Industrial Average**, an American stock index, rose by 0.6%, reaching a record high and beating its previous peak in February. The S&P 500 and the NASDAQ indices have also hit record highs this month, buoyed by [AI enthusiasm](#) and hopes of peace in Iran. Yields on America’s 10-year Treasury bonds fell to a one-week low of 4.54%.

Mr Trump defended his \$1.8bn “**Anti-Weaponisation Fund**”, saying he was “helping others” and that he “gave up a lot of money” for it. Mr Trump sued his own government for \$10bn in damages for leaking his tax returns during his first term. Some Republican senators rebelled against the fund, which could [pay out claims to the president’s allies](#), by delaying a vote on an immigration bill.

A potential [merger](#) between **Estée Lauder**, an American cosmetics company, and **Puig**, a Spanish competitor, fell apart. Neither firm said why talks had failed, but control over the combined company, which would be worth nearly \$40bn, was reportedly a sticking point. Both had hoped that the merger would reverse long-term declines in their share prices. Investors were unconvinced, buying up stocks on hearing of the deal’s failure.

The European Union’s pharmaceutical regulator approved **Novo Nordisk’s** [weight-loss pill](#), Wegovy, for sale. The recommendation paves the way for it to become the first oral weight-loss treatment available in the bloc, which puts the Danish drugmaker ahead of its American rival, Eli Lilly. Novo launched the pill in America in December after winning approval from American regulators—four months before Lilly did.

Shein, a [Chinese fast-fashion giant](#), acquired **Everlane**, an American clothing-maker, for an undisclosed amount. Once

popular for its sustainably made garments and [“radical transparency”](#), Everlane has floundered in recent years. Shein bought the majority stake of L Catterton, a private-equity firm that had reportedly been searching for a buyer to clear Everlane’s \$90m debt. The sale has upset some environmentally minded shoppers.

Figure of the day: 88,546, the number of evangelical sermons analysed in a new study on church electioneering. Read about how frequently [American pastors endorse political parties](#).



Photograph: Getty Images

Trump's NATO tantrum

Donald Trump has a bone to pick with [European allies](#): in his view they failed to support his war against Iran. “Italy has not been of any help to us and Spain has been horrible, absolutely horrible,” he said in April after he announced that 5,000 American troops would leave Germany and that more might withdraw from Italy and Spain. He also threatened to halt the deployment of an armoured brigade that was packed and ready to go to Poland, before changing his mind.

The extent of Mr Trump's anger may become clearer on Friday at a meeting of NATO ministers in Sweden, where, according to Reuters, America will announce a reduction in the forces it has committed to sending to Europe during wartime. NATO's [European members](#) will see this as a threat to their security. It could also be a more significant breach of America's promise to conduct a gradual drawdown that would give European countries time to build up their own forces.



Photograph: Getty Images

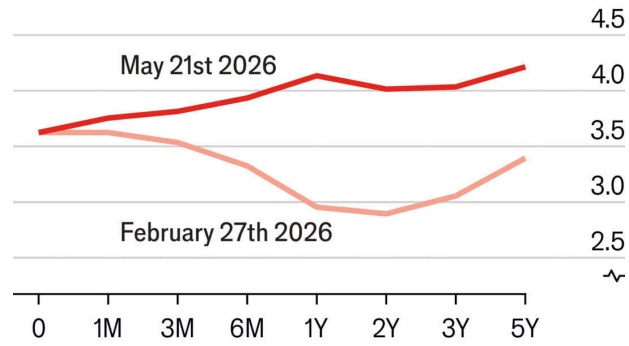
A new era at the Fed

On Friday Donald Trump hosted a swearing-in ceremony for Kevin Warsh, the [new head of the Federal Reserve](#), at the White House. The setting was unusual; such ceremonies are normally held at the Fed, without the president. But Mr Trump, who continually attacked Jerome Powell, Mr Warsh's predecessor, for being "too slow" to cut rates, may be trying to narrow the distance between the White House and the central bank.

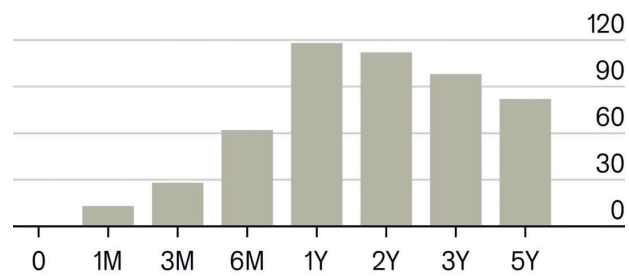
Mr Warsh is unlikely to cut rates soon. The war in Iran has added to price pressures. The core consumer price index, which excludes energy and food, rose at an annualised rate of 4.6% in April. Minutes from last month's Fed meeting showed many officials favouring tighter policy if [inflation remains stubborn](#). Markets are pricing in better than even chance of a rate increase by the year's end. The smooth path to easier policy that Mr Warsh may have hoped for has all but disappeared.

A rocky road

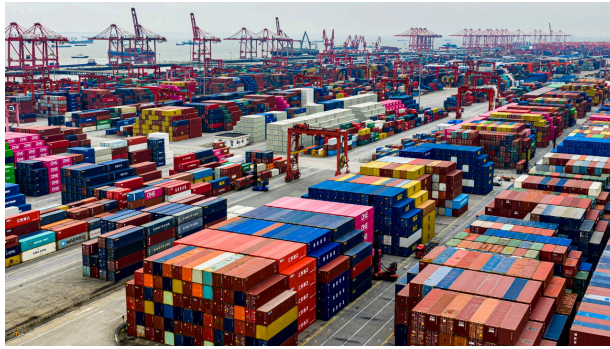
US, implied federal-funds target rate, %



Change between February 27th and May 21st 2026, basis points



Source: Bloomberg



Photograph: Getty Images

China welcomes trade ministers to Suzhou

A week after Donald Trump's [visit to Beijing](#), China is hosting meetings of the Asia-Pacific Economic Co-operation forum in the eastern city of Suzhou. Trade ministers will discuss ways to strengthen supply chains and streamline accounting and technological standards. The host country will use the talks to present itself as a stabilising force in an increasingly fragmented trading system.

The ministers will have their work cut out: although Mr Trump and Xi Jinping agreed to [extend their trade truce](#) last week, relations among other APEC members are fraught. Japan's trade minister, Akazawa Ryosei, will be in attendance despite his country's continuing row with China over Taiwan. And Taiwan's top trade negotiator will also attend, despite China's attempts to limit the island's participation. The meetings will set the agenda for the APEC leaders' summit in Shenzhen in November, which Mr Trump is expected to attend.



Photograph: Getty Images

Mexico and the EU: a shot at something new

On Friday a Mexican president will host leaders of the European Union for the first time in over a decade. [Claudia Sheinbaum](#), António Costa, president of the European Council, and Ursula von der Leyen, president of the European Commission, are set to sign two deals. One renews a broad 25-year-old partnership. The other is an interim agreement that scraps almost all tariffs between Mexico and the EU, and adds provisions on digital trade and investment.

The timing is telling. Mexico wants to [depend less on America](#), its dominant trading partner, after Donald Trump's tariffs undermined their long-standing free-trade agreement. Mr Trump's antics have also left Europe looking for more reliable associates. The EU is Mexico's third-biggest trading partner and second-biggest investor. But the bloc buys only a small share of Mexican goods. Both sides hope that boosting European investment in Mexico—and increasing the flow of tequila and mezcal to Europe—will be a recipe for a better *mañana*.



Photograph: LUCASFILM LTD

Star Wars, from space opera to soap opera

Six years after “The Rise of Skywalker”, Disney is bringing Star Wars back to cinemas on Friday with “The Mandalorian and Grogu”. The long wait is partly due to creative fumbling: some Star Wars projects fizzled out over differences between directors and the studio. But it also reflects [Disney’s pivot](#) to streaming. Since the last film it has made seven live-action Star Wars series and various animated ones, recruiting millions of subscribers to Disney+.

Now Disney faces the challenge of spinning a tv property back into a movie. The many series have kept the brand alive, but diluted its magic and complicated the galaxy’s interlocking plotlines. “Grogu” is heading for a weak box-office opening by Star Wars standards (though its \$165m budget is also relatively modest). Hopes are higher for “Starfighter”, a big-budget film due in 2027—which will also mark 50 years since the franchise began, a long time ago in a galaxy far, far away.



Illustration: Sandra Navarro

Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Friday: Jarvis Cocker is the lead singer of which Britpop band?

Thursday: Pomeranian, Havanese and Sheltie are breeds of which animal?

An artist must be free to choose what he does, certainly, but he must also never be afraid to do what he might choose.

Langston Hughes